

based on the unique algorithm of each bureau; a score of 750 or above is considered good. "To get a cheap personal loan, be sure to maintain a good credit score because a bad score would mean higher interest rates... If you have a credit score above 750, your chances of getting a personal loan increase significantly," says Satyam Kumar, CEO and Co-founder of LoanTap, a fintech firm for online delivery of retail asset products. Another factor that determines the cost of your loan is your profile. Your income level as well as your occupation also have a bearing on interest rates.

Low interest rates should definitely be your one main criterion while choosing a personal loan. Experts say opting for fixed-rate personal loans would always be preferable during a rising interest rate regime. "Those who have availed personal loans at floating interest rates would be impacted by the rising repo rates," says Sahil Arora, Senior Director at Paisabazaar, a fintech firm.

Arora adds that public sector banks (PSBs) usually offer personal loans at floating interest rates whereas most private banks offer personal loans at fixed interest rates. Moreover, one should go with banks with a good CASA ratio as such lenders tend to raise their rates at a slower pace compared to banks with a low ratio. CASA is the ratio of deposits in current account and savings account to the total deposits of the bank.

There are other variables, too, that you need to look at such as processing fees, legal charges, penal charges and even prepayment charges. Similarly, personal loan borrowers should confirm whether the interest rate, processing fees, tenure, prepayment, foreclosure charges and other personal loan features written in the personal loan agreement are the same as the ones communicated during the onboarding process so that there are no surprises after taking the loan.



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MEL GERARD CARVILL
NON-EXECUTIVE DIRECTOR
& BOARD MEMBER,
HOME CREDIT N.V.



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Before taking a personal loan, do explore other options available in the market. For example, if you want to take a personal loan for furniture or electric equipment, then a better deal could be to avail no-cost EMIs offered by many stores for tenures ranging from six to 12 months. So, be patient and compare all offers from all available lenders before taking the plunge.

THE RISKS

It is very important that you obtain a personal loan from sources governed by the RBI, and not from unscrupulous lenders, which charge you astronomical interest rates and resort to harassment in case of defaults. "As a consumer, you have to be aware of the remedies provided by sectoral regulators. Like in this case, the RBI, so that you can escalate it to the relevant authorities," says LoanTap's Kumar.

Historically, in an emergency, people used to borrow money from close friends and families or local lenders. With the rise of fintech apps, now you could get loans from all kinds of sources. However, be careful while opting for these. "All these are new sources, and regulators have been slightly slow to bring them all into the ambit. Because of an argument I always make, if you're taking a loan, or making a deposit or buying an insurance policy, you shouldn't have to worry who the supplier is; you shouldn't have to think I'm at greater risk because I took it from supplier A rather than from supplier B. The regulation should be about the product, not about the provider. So, as a consumer, I should have equal protection," says Carvill.

Sharma plugged her leaking ceiling by opting for loans from regulated sources. With loans flowing like water, don't get lured by easy money; pick the right financing option and fulfil your dream like her. **BT**

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